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Secure Distribution Venture Pvt. Ltd.

What Is EBITDA-Based Lending ?

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A Comprehensive Institutional White Paper & Industry Handbook on Cash-Flow-Driven Corporate Debt, Leverage Multiples, Quality of Earnings Underwriting, Structuring Architecture, and Regulatory Frameworks in India

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Chapter 1: Product Overview & Core Philosophy of EBITDA-Based Lending

EBITDA-Based Lending—frequently designated in global and Indian corporate finance as **Cash-Flow-Based Corporate Debt or Cash-Flow Cash Conversion Credit**—represents an institutional credit facility wherein a financial institution, commercial bank, Non-Banking Financial Company (NBFC), or Private Credit Fund advances capital to a corporate borrower based primarily on the enterprise's demonstrated operating profitability and repeatable cash generation capacity, rather than the liquidation value of its physical unencumbered real estate or fixed plant assets.

At its core, EBITDA (Earnings Before Interest, Taxes, Depreciation, and Amortization) serves as the primary financial proxy for an enterprise's ongoing core operational cash flow. While traditional corporate banking in India historically anchored credit decisioning on hard collateral—such as industrial land, commercial office space, and manufacturing machinery—EBITDA-based lending flips this paradigm. It evaluates the enterprise as a dynamic, cash-generating going concern capable of servicing interest and amortizing principal debt strictly through operational cash conversion.

1.1 The Fundamental Paradigm Shift in Corporate Credit

In asset-heavy industrial models, collateral-based lending functioned effectively because capital expenditure went directly into physical real estate and plant assets that could be mortgaged. However, in modern economies—characterized by asset-light technology platforms, specialty pharmaceuticals, healthcare providers, consumer brands, logistics networks, and high-margin B2B services—the enterprise value (EV) resides in intellectual property, distribution channels, operational efficiencies, customer retention, and brand equity. These intangible drivers do not appear as mortgagable fixed assets on a balance sheet, rendering traditional mortgage-backed bank credit unavailable or severely restrictive.

EBITDA-based lending bridges this structural gap. Lenders evaluate how effectively an enterprise converts gross revenues into operational EBITDA, and subsequently how efficiently EBITDA converts into **Free Cash Flow to Firm (FCFF)**. Debt capacity is quantified as a direct multiple of normalized EBITDA (e.g., 2.5x to 4.5x EBITDA), allowing high-performing businesses to unlock substantial growth capital without surrendering equity or relying on real estate collateral.

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1.2 The EBITDA Spectrum: Unadjusted vs. Quality-of-Earnings (QoE) EBITDA

Underwriters do not blindly accept the statutory reported EBITDA from audited financial statements. Institutional cash-flow lending relies on a rigorous **Quality of Earnings (QoE) Underwriting Audit** to establish Normalized, Sustainable, Run-Rate EBITDA. This process systematically strips out non-recurring income, owner discretionary perks, artificial revenue acceleration, and one-off extraordinary expenses.

Credit Parameter	EBITDA-Based Lending	Asset-Backed Corporate Debt	Asset-Based Lending (ABL)
Primary Underwriting Anchor	Sustainable Cash Flow & EBITDA Multiples (2.5x–4.5x)	Tangible Real Estate & Fixed Asset Mortgage Value	Liquidation Value of Receivables & Inventory
Borrowing Base Multiplier	3.0x to 4.5x Normalized EBITDA	50%–70% LTV of Fixed Assets / Property	80% of Eligible Receivables + 50% of Inventory
Target Corporate Profile	Asset-Light, High Gross Margin, Predictable Cash Flow	Asset-Heavy Capital Intensive (Steel, Power, Infra)	Trading, Wholesale Distribution, Working Capital Heavy
Lender Risk & Pricing	Moderate to High Risk (11.5%–16.5% p.a. All-In)	Low to Moderate Risk (8.5%–11.0% p.a.)	Moderate Risk (10.0%–13.5% p.a.)

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Chapter 2: Structural Architecture & Debt Multiple Mechanics

Structuring an EBITDA-based credit facility requires precise quantitative calibration between total debt quantum, leverage multiples, interest coverage ratios, and cash conversion efficiency. Unlike traditional loans where limit sizing depends on collateral appraisal reports, EBITDA-based loan sizing is derived directly from financial engineering formulas.

2.1 Debt Leverage Multiples & Sizing Formulas

The primary metric governing credit quantum is the **Consolidated Net Debt to EBITDA Ratio**:

Leverage Multiple = (Total Senior Debt + Subordinated Debt - Unencumbered Cash) / Normalized EBITDA

In the Indian corporate credit market, institutional underwriting parameters generally enforce the following leverage ceilings:

- **Senior Secured EBITDA Debt Multiple:** 2.0x to 3.25x Normalized EBITDA for mid-market corporates (INR 100 Cr–INR 1,000 Cr turnover).
- **Total Combined Debt Multiple (Senior + Mezzanine):** Capped at a maximum ceiling of 3.50x to 4.50x Normalized EBITDA across private credit and AIF structures.

2.2 Coverage Ratios & Cash Conversion Mechanics

While leverage multiples determine maximum loan quantum, debt service feasibility is governed by the **Debt Service Coverage Ratio (DSCR)** and **Fixed Charge Coverage Ratio (FCCR)**:

DSCR = (EBITDA - Maintenance Capex - Cash Taxes Paid) / (Annual Interest Expense + Principal Amortization)

A minimum projected DSCR of **1.30x to 1.50x** across the loan tenure is required under stress-tested sensitivity scenarios (assuming a 15% revenue drop or 200 bps interest rate spike). Furthermore, lenders analyze the **EBITDA Cash Conversion Ratio** [(Operating Cash Flow / EBITDA) × 100], requiring a benchmark of at least 70% to ensure that book profitability translates reliably into bank balance liquidity.

2.3 Financial Covenant Architecture: Maintenance vs. Incurrence

EBITDA-based facility agreements incorporate robust financial covenants to detect operational deterioration early:

- **Maintenance Covenants (Tested Quarterly):** Mandates that Net Debt/EBITDA shall not exceed specified thresholds (e.g., max 3.50x in Year 1, stepping down to 2.75x in Year 3), and minimum DSCR shall not fall below 1.30x.

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- **Incurrence Covenants:** Prohibits taking on additional debt, executing M&A acquisitions, or paying promoter dividends unless post-transaction leverage remains under 2.50x EBITDA.

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Chapter 3: Regulatory, Statutory & Accounting Framework in India

EBITDA-based lending operates within a structured regulatory, accounting, and statutory matrix governed by the Reserve Bank of India (RBI), Indian Accounting Standards (Ind AS), the Companies Act 2013, and the Income Tax Act 1961.

3.1 RBI Credit Guidelines & Large Exposure Framework (LEF)

Commercial bank lending in India is governed by the **RBI (Commercial Banks – Credit Facilities) Directions, 2025** and the **Large Exposure Framework (LEF)**. Under RBI prudential norms, banks must maintain strict risk-weightings against uncollateralized or cash-flow-backed corporate credit. While traditional bank term loans require physical mortgage creation to qualify for lower Risk-Weighted Asset (RWA) allocations, private credit funds structured as SEBI-registered Category II Alternative Investment Funds (AIFs) operate under flexible institutional mandates, enabling them to absorb cash-flow risks in exchange for higher risk-adjusted yields.

3.2 Indian Accounting Standards (Ind AS 109 & Ind AS 115)

Under Ind AS accounting frameworks, EBITDA evaluation must align with statutory revenue recognition and financial instrument classification:

- **Ind AS 115 (Revenue from Contracts with Customers):** Requires strict revenue recognition based on performance obligation fulfillment. Underwriters eliminate advance billings or unearned revenue from reported sales to prevent inflated EBITDA figures.
- **Ind AS 109 (Financial Instruments):** Governs the classification and measurement of debt facilities using the Effective Interest Rate (EIR) method. All transaction costs, processing fees, and upfront arrangement charges are amortized across the facility life, impacting P&L finance costs.

3.3 Income Tax Act 1961 & Section 94B Interest Deductibility Caps

Interest payments on EBITDA-based debt are fully tax-deductible as business expenses under **Section 36(1)(iii) of the Income Tax Act, 1961**. However, corporate borrowers must comply with **Section 94B (Thin Capitalization Rules)**, which caps tax-deductible interest paid to non-resident associated enterprises at **30% of EBITDA**. Excess interest above 30% of EBITDA is disallowed in the current year but can be carried forward for up to 8 assessment years.

3.4 Companies Act 2013 Statutory Compliance

Borrowing companies must execute statutory resolutions under **Section 180(1)(c) of the Companies Act, 2013** if total borrowings exceed paid-up share capital and free reserves.

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Furthermore, security creation over operating assets or cash escrow accounts requires filing **ROC Form CHG-1** with the Registrar of Companies within 30 days under Section 77.

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Chapter 4: Common Eligibility Criteria & Underwriting Benchmarks

Institutional credit committees evaluate EBITDA-based debt applications using standardized quantitative metrics, qualitative governance filters, and rigorous Quality of Earnings (QoE) adjustment protocols.

4.1 Quantitative Underwriting Parameters Matrix

The following matrix outlines the core financial benchmarks required for EBITDA-based credit approval across Indian commercial banks, NBFCs, and Private Credit AIFs:

Underwriting Parameter	Minimum Eligibility Threshold	Optimal Target Benchmark
Annual Operating Revenue	INR 50.00 Crores per annum	INR 150.00 Crores to INR 1,500.00 Cr+
Normalized EBITDA Margin	Minimum 12.0% sustainable margin	18.0% to 30.0%+ Operating Margin
Projected DSCR Range	Minimum 1.30x across tenure	1.50x to 2.20x Average DSCR
Consolidated Net Debt / EBITDA	Maximum 3.50x (Senior Debt)	2.00x to 3.00x Net Debt / EBITDA
EBITDA Cash Conversion	Minimum 65.0% (OCF / EBITDA)	75.0% to 90.0% Cash Conversion
Promoter Unencumbered Stake	Minimum 30.0% voting equity	51.0%+ Controlling Shareholding

4.2 Quality of Earnings (QoE) Adjustment Mechanics

The bridge between Reported Statutory EBITDA and Underwriting EBITDA requires meticulous adjustments:

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- **Permitted Add-Backs:** One-off transaction/legal expenses, non-recurring litigation settlements, excessive promoter salaries above market rates, and verifiable post-merger synergy cost savings.
- **Mandatory Deductions:** Capitalized R&D expenses that represent operating overhead, non-operating foreign exchange gains, government capital subsidies, and under-funded employee gratuity liabilities.

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Chapter 5: Security Architecture, Collateral Ring-Fencing & Legal Documentation

Although EBITDA-based lending is cash-flow-driven rather than real-estate-collateralized, lenders establish a comprehensive security package to ring-fence operational cash flows, control receivables, and prevent asset leakage.

5.1 Collateral Ring-Fencing Architecture

The standard security suite incorporates five interlocking defensive layers:

- **1. Charge on Movable Fixed & Operating Assets:** First pari-passu mortgage/hypothecation charge over all plant, equipment, inventories, and trade receivables.
- **2. Trust & Retention Account (TRA) Escrow Structure:** Mandatory routing of 100% customer collections into a lender-monitored TRA Escrow Account.
- **3. Debt Service Reserve Account (DSRA):** Liquidity buffer holding 1 to 2 quarters of principal and interest servicing in lien-marked Fixed Deposits.
- **4. Promoter Share Pledge & Non-Disposal Undertaking (NDU):** Pledge of 30% to 51% of dematerialized promoter equity shares with dynamic margin call triggers.
- **5. Personal & Corporate Guarantees:** Irrevocable, unconditional joint and several personal guarantees from primary promoters and corporate guarantees from operating subsidiaries.

5.2 Escrow / TRA Cash Flow Waterfall Architecture

The TRA Escrow agreement establishes an enforceable priority cash flow waterfall governing all incoming cash collections:

Gross Inflows → Priority 1: Statutory Taxes → Priority 2: Approved O&M Overhead → Priority 3: Senior Debt Interest & Principal → Priority 4: DSRA Replenishment → Priority 5: Cash Sweep / Borrower Surplus

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5.3 Master Legal Documentation Suite

Document Title	Governing Statutory Provision	Core Purpose & Legal Function
Facility Agreement / Debenture Trust Deed	Companies Act 2013 / SEBI (NCS) Rules	Master credit terms, financial covenants, events of default, and repayment schedules.
Trust & Retention Account (TRA) Agreement	Indian Contract Act 1872 / Banking Norms	Establishes lender control over escrow receiving accounts and priority cash waterfall.
Deed of Hypothecation & Mortgage	Section 125 Companies Act / TPOA 1882	Creates first charge on movable plant, current receivables, and operating stock.
Share Pledge Agreement & NDU	Section 176 Indian Contract Act 1872	Pledges promoter demat shares in NSDL/CDSL with margin call top-up mandates.
Intercreditor Agreement (ICA)	RBI June 7 Prudential Framework 2019	Establishes voting rules (75% value/60% number) and standstill periods among syndicate lenders.

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Chapter 6: Tenures, Pricing Framework & Suitable Industries

EBITDA-based debt is structured with specific amortization timelines, risk-adjusted pricing matrices, and targeted sector profiles.

6.1 Indicative Tenure Profiles & Amortization Mechanics

Facility tenures range from **36 months (3 years) to 84 months (7 years)**. Most corporate facilities incorporate a **12-month to 24-month principal moratorium**, during which the borrower services interest only while deploying growth capital. Subsequent principal repayment follows structured quarterly equal installments or tailored sculpted amortization schedules aligned with cash flow expansion.

6.2 Pricing Framework & All-In Yield Calculations

Pricing is structured on a risk-adjusted floating or fixed yield basis:

All-In Borrowing Cost = Floating Benchmark Rate (Repo / MCLR / T-Bill) + Credit Spread + Amortized Upfront Fees

Commercial bank facilities for high-grade corporates (AA/A rated) price between **9.50% and 11.50% p.a.**, whereas private credit AIF facilities for mid-market corporates (BBB/Unrated) price between **12.50% and 16.50% p.a. All-In YTM** (often incorporating a 10.0% cash coupon + 3.0% Payment-In-Kind accrual + 1.5% exit premium).

6.3 Target Industry Sectors & Ideal Business Profiles

EBITDA-based lending is best suited for enterprises possessing high gross margins, low maintenance capex requirements, and sticky customer bases:

- **Specialty Pharmaceuticals & Healthcare:** High gross margins (60%+), predictable generic drug demand, and scalable hospital bed capacity.
- **Enterprise Software, Tech & SaaS:** Recurring revenue contracts (ARR), low marginal cost of delivery, and customer churn < 5%.
- **FMCG, Consumer Brands & B2B Distribution:** Strong distribution moats, rapid inventory turnover, and high return on capital employed (ROCE).
- **Specialty Chemicals & Advanced Manufacturing:** Long-term customer supply contracts with pass-through raw material pricing clauses.

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Chapter 7: Key Strategic Advantages & Structural Limitations

Evaluating EBITDA-based debt requires balancing its significant growth benefits against its structural risks and financial constraints.

Strategic Advantages	Structural Limitations & Risks
100% Zero Equity Dilution: Preserves complete ownership and voting control for founders without surrendering equity shares.	Sensitivity to Operational Downturns: A drop in EBITDA rapidly increases leverage multiples, triggering covenant breaches.
Bypasses Real Estate Requirements: Unlocks substantial growth debt for asset-light corporates lacking land or building collateral.	Higher Interest Cost than Bank Mortgages: Private credit EBITDA debt carries higher risk-adjusted pricing (12.5%–16.5% p.a.).
Interest Tax Deductibility: Interest servicing is fully tax-deductible under Section 36(1)(iii), lowering net effective borrowing cost.	Strict Financial Covenants & Traps: Quarterly maintenance testing restricts capital expenditure, M&A, and dividend distributions.
Rapid Execution & Flexibility: Private credit AIFs execute transactions within 3 to 4 weeks compared to 3–6 months for bank syndications.	Refinancing Risk at Maturity: Large bullet or sculpted repayments require robust market access or EBITDA expansion.

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Chapter 8: Comprehensive Real-World Case Study (INR 300 Crore EBITDA Facility)

To illustrate the practical financial engineering, cash-flow waterfall, and leverage reduction trajectory of EBITDA-based lending, the following detailed case study examines an institutional transaction in the Indian pharmaceutical sector.

8.1 Corporate Background & Transaction Context

Corporate Debtor: Vanguard Specialty Pharma & LifeSciences Limited (VSPL), a Hyderabad-based manufacturer of active pharmaceutical ingredients (APIs) and specialty formulations. VSPL reported an annual turnover of INR 650.00 Crores and a statutory Reported EBITDA of INR 95.00 Crores (14.6% margin).

The Strategic Catalyst: VSPL sought to acquire a US-FDA approved API manufacturing facility in Vizag for an Enterprise Value of **INR 300.00 Crores**. However, VSPL's existing industrial land was fully mortgaged to commercial banks for working capital lines. Private equity investors offered equity funding but demanded a 35% equity stake at a depressed valuation. VSPL chose an **EBITDA-Based Structured Debt Facility** to execute the acquisition without equity dilution.

8.2 Quality of Earnings Audit & Loan Sizing

Private credit underwriters conducted a QoE audit on VSPL and the target unit, establishing Normalized Combined EBITDA:

- VSPL Standalone Reported EBITDA: INR 95.00 Crores.
- Target Unit Reported EBITDA: INR 35.00 Crores.
- Permitted Synergies & QoE Adjustments: +INR 10.00 Crores (elimination of duplicate procurement and administrative overhead).
- Normalized Combined Run-Rate EBITDA: INR 140.00 Crores.

Facility Sizing: Lenders approved a **INR 300.00 Crore Senior Secured EBITDA Debt Facility** structured as NCDs issued to a SEBI Category II Private Credit AIF. Sizing represented **2.14x Normalized EBITDA** (INR 300 Cr / INR 140 Cr), well within conservative underwriting caps.

8.3 Facility Structuring & Terms

- **Facility Quantum:** INR 300.00 Crores.
- **Tenure & Amortization:** 60 Months (5 Years) with a 12-Month Principal Moratorium followed by 16 equal quarterly principal installments of INR 18.75 Crores.
- **Pricing & Coupon:** 13.50% p.a. All-In Yield (10.50% Cash Coupon payable monthly + 3.00% PIK Accrual compounding annually).

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- **Security Package:** First pari-passu charge on Vizag plant equipment and receivables, Escrow TRA account, 2-quarter DSRA (INR 20 Cr), and 35% promoter share pledge.

8.4 5-Year Financial Model & Debt De-leveraging Trajectory

The following financial model illustrates the combined enterprise performance, cash waterfall, DSCR progression, and debt de-leveraging trajectory over the 5-year facility tenure:

Financial Metric (INR Cr)	Year 1 (Mora)	Year 2	Year 3	Year 4	Year 5 (Exit)
Gross Operating Revenue	INR 800.00	INR 980.00	INR 1,200.00	INR 1,450.00	INR 1,750.00
Normalized EBITDA	INR 140.00	INR 176.40	INR 228.00	INR 290.00	INR 367.50
EBITDA Margin (%)	17.50%	18.00%	19.00%	20.00%	21.00%
Debt Service (Int + Prin)	INR 31.50	INR 103.50	INR 95.62	INR 87.75	INR 79.88
Projected DSCR	4.44x	1.70x	2.38x	3.30x	4.60x
Closing Debt Balance	INR 309.00*	INR 234.00	INR 159.00	INR 84.00	INR 0.00

*(*Note: Year 1 closing debt reflects INR 300 Cr initial principal + INR 9.0 Cr 3% PIK interest compounding during moratorium).*

Strategic Outcome: By Year 5, VSPL fully extinguished the INR 300 Crore facility out of operational cash flows. Revenues expanded 169% to INR 1,750 Crores, and EBITDA scaled 162% to INR 367.50 Crores. Founders retained **100% equity ownership**, increasing their equity enterprise value from INR 700 Crores to over **INR 3,600 Crores** (at a 10x EBITDA market valuation), delivering a textbook demonstration of cash-flow debt leverage.

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Chapter 9: Insolvency, Legal Enforcement & IBC 2016 Integration

In the event of severe operational default or covenant breaches that cannot be cured, EBITDA-based lenders enforce rights under Indian insolvency and recovery statutes.

9.1 Financial Creditor Status under IBC 2016

Lenders holding EBITDA-based debentures or loan facilities qualify as **Financial Creditors under Section 5(8) of the Insolvency and Bankruptcy Code, 2016 (IBC)**. Upon a payment default exceeding INR 1.00 Crore, lenders can file an application under **Section 7 of the IBC** before the National Company Law Tribunal (NCLT) to initiate Corporate Insolvency Resolution Process (CIRP).

9.2 Section 53 Liquidation Waterfall Ranking

If CIRP fails and the corporate debtor enters liquidation, secured EBITDA lenders holding hypothecation charges over operating assets and escrow TRA accounts rank at top priority under **Section 53(1)(b) of the IBC** (pari-passu with 24-month workmen's dues), standing ahead of unsecured creditors, statutory government taxes (Section 53(1)(e)), and equity shareholders (Section 53(1)(h)).

9.3 Share Pledge Enforcement under Contract Act

Debenture Trustees holding pledged promoter demat shares exercise statutory enforcement powers under **Section 176 of the Indian Contract Act, 1872**. Upon giving reasonable 3-to-5 day notice, trustees can invoke pledged shares in NSDL/CDSL depositories and sell them in open-market block deals to recover outstanding dues without court intervention.

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Chapter 10: Rookie Mastery Examination (15 High-Yield Test Q&As)

This chapter provides 15 structured practice examination questions with comprehensive answer keys designed to test and verify complete mastery of EBITDA-based lending concepts, formulas, and regulatory frameworks.

Q1: What is the primary underwriting anchor in EBITDA-based lending compared to traditional corporate bank loans?

Answer: In EBITDA-based lending, the primary underwriting anchor is the enterprise's sustainable operating cash flow and cash conversion capacity, quantified as a multiple of Normalized EBITDA (typically 2.0x to 4.5x). Traditional bank loans anchor underwriting on the appraisal and liquidation value of physical real estate or fixed plant collateral.

Q2: How is Net Debt to EBITDA calculated, and what is the typical ceiling for senior secured credit?

Answer: Net Debt to EBITDA = (Total Debt - Unencumbered Cash) / Normalized EBITDA. In Indian corporate credit markets, senior secured EBITDA debt is capped at a maximum ceiling of 2.0x to 3.25x Normalized EBITDA for mid-market corporates.

Q3: What is the difference between Statutory Reported EBITDA and Quality-of-Earnings (QoE) Underwriting EBITDA?

Answer: Statutory Reported EBITDA is derived directly from audited P&L financial statements. QoE Underwriting EBITDA adjusts this figure by stripping out non-recurring income, non-operating forex gains, government capital subsidies, and owner discretionary perks, while adding back verifiable one-off transaction expenses and post-merger synergy cost savings.

Q4: What is the minimum Debt Service Coverage Ratio (DSCR) required for EBITDA-based facility approval?

Answer: Underwriters mandate a minimum projected DSCR of 1.30x to 1.50x across the loan tenure under stress-tested sensitivity scenarios (assuming revenue drops or interest rate hikes).

Q5: How does the priority cash waterfall operate in a Trust & Retention Account (TRA) Escrow structure?

Answer: Incoming gross customer cash receipts follow a strict statutory and contractual priority order: Priority 1: Statutory Tax Liabilities -> Priority 2: Approved Essential O&M Expenses -> Priority 3: Senior Debt Interest & Principal Servicing -> Priority 4: DSRA Replenishment -> Priority 5: Cash Sweep / Borrower Surplus.

Q6: What is the function of a Debt Service Reserve Account (DSRA)?

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Answer: A DSRA is a dedicated liquidity reserve account holding 1 to 2 quarters (3 to 6 months) of principal and interest servicing in lender-lien-marked Fixed Deposits, providing a cash buffer against temporary operational cash flow disruptions.

Q7: How does Section 94B of the Income Tax Act 1961 impact interest deductibility for corporate debt?

Answer: Section 94B (Thin Capitalization Rules) caps tax-deductible interest paid to non-resident associated enterprises at 30% of the borrowing entity's EBITDA. Excess interest above 30% is disallowed in the current year but can be carried forward for up to 8 assessment years.

Q8: Under Ind AS 115, why do underwriters strip out advance billings from EBITDA calculations?

Answer: Ind AS 115 requires revenue to be recognized only when performance obligations are fulfilled. Advance billings represent unearned customer liability rather than operational cash generated from completed sales, so underwriters eliminate them to prevent artificial EBITDA inflation.

Q9: What is the statutory requirement for filing security charges under the Companies Act 2013?

Answer: Under Section 77 of the Companies Act 2013, companies creating a security charge on operating assets or escrow accounts must file ROC Form CHG-1 with the Registrar of Companies within 30 days of charge execution.

Q10: Why is EBITDA-based lending ideal for asset-light industries like Software/SaaS and Specialty Pharma?

Answer: Asset-light companies possess high gross margins (50%+), recurring customer revenues, and high enterprise values, but lack physical real estate or land collateral required for traditional bank mortgages. EBITDA-based debt unlocks substantial growth capital based on their cash conversion capacity.

Q11: What is the typical tenure and moratorium structure for a corporate EBITDA-based facility?

Answer: Tenures range from 36 to 84 months (3 to 7 years), incorporating a 12-month to 24-month principal moratorium during which the company services interest only before commencing quarterly principal amortization.

Q12: How is All-In Yield calculated for a private credit EBITDA facility?

Answer: All-In Yield (YTM) = Cash Coupon Rate + Payment-In-Kind (PIK) Accrual Rate + Amortized Upfront Arrangement Fees + Exit Redemption Premiums. Private credit facilities typically target an All-In YTM of 12.50% to 16.50% p.a.

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Q13: What is the difference between Maintenance Covenants and Incurrence Covenants?

Answer: Maintenance covenants are tested periodically (quarterly) and require the company to maintain specific financial ratios (e.g., Net Debt/EBITDA < 3.5x). Incurrence covenants are tested only when the company takes a specific action, prohibiting M&A or dividend payouts unless leverage remains below specified caps.

Q14: What legal standing do EBITDA debenture holders possess under the Insolvency and Bankruptcy Code (IBC) 2016?

Answer: Debenture holders are Financial Creditors under Section 5(8) of the IBC 2016. Upon a payment default exceeding INR 1.00 Crore, they can file a Section 7 application to initiate CIRP, and hold top priority under Section 53(1)(b) in liquidation.

Q15: How do lenders enforce share pledges under Section 176 of the Indian Contract Act 1872?

Answer: Under Section 176, Debenture Trustees holding pledged dematerialized promoter equity shares in NSDL/CDSL depositories can issue a 3-to-5 day notice of default, invoke the pledge, and sell the shares in open-market block deals to recover outstanding debt without court intervention.

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